
ROYAL SOUTH BEACH

Strategic Review — Path Forward

Board transition · Operational improvements · Special assessment · Repositioning options

01

BOARD CONTROL

Transition effective May 18. Three new directors.
Govern professionally, formalize everything.

02

OPERATIONS

Internalize cleaning, bylaws review, vendor audit,
special-assessment letter to City.

03

REPOSITIONING

Three paths — improve, \$2.5M PIP, or \$4M hotel
conversion. Plus the commercial opportunity.

It Is Over

Judith resigned after 23 years. The new board takes office Monday May 18.

Mitch Rodriguez

Director

MR9-aligned

Ariel Rodriguez

Director • Owner's Rep

MR9-aligned

Tal Levinson

Director

Family seat retained

THE COUNT

2 of 3 seats aligned with MR9.

CRITICAL POSTURE

The Board represents all 46 unit owners — not MR9.

Every decision must be defensible as Board acting in the building's interest. Every formality observed. Every vote minuted. Every conflict disclosed. Every notice properly delivered. We win when the building wins — and we lose any conflict-of-interest challenge that suggests otherwise. The orderly, professional transition next week is the first test.

Board Control Does NOT Equal FULL Control

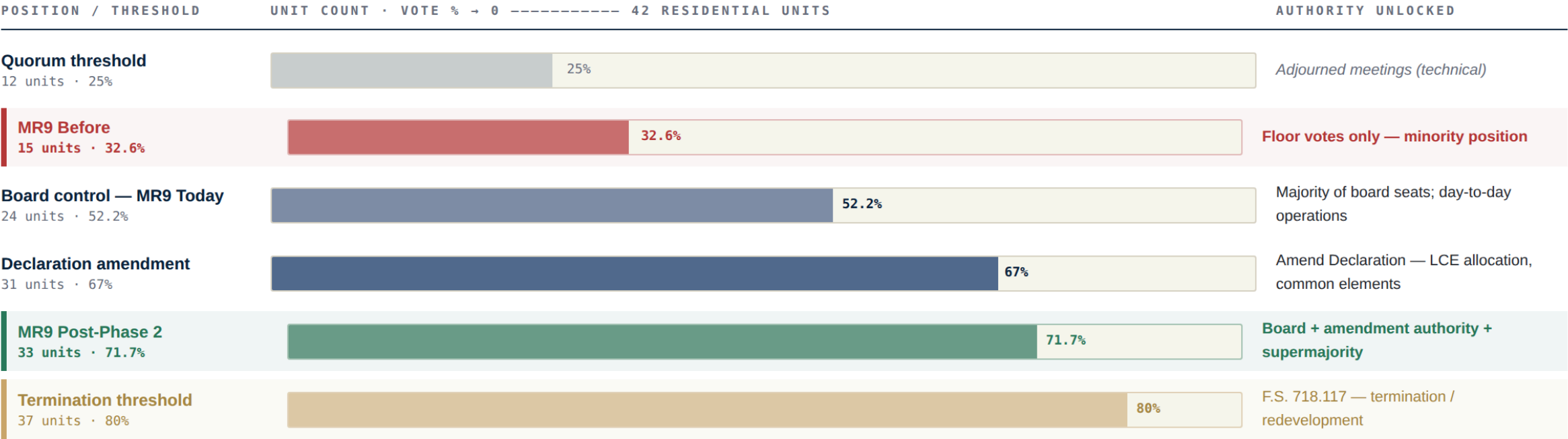
We hold 2 of 3 board seats effective May 18. That unlocks a powerful set of day-to-day authorities — and comes with equally powerful fiduciary constraints.

WHAT 2 OF 3 BOARD SEATS UNLOCKS TODAY

The board controls day-to-day operations, vendor contracts, budget execution, City communications, and the special assessment scope — **without a unit-owner vote**. We can act immediately.

FIDUCIARY DUTY — NON-NEGOTIABLE

The board represents **all 46 unit owners**, not MR9. Every decision must be defensible as acting in the building's interest. Every conflict disclosed. Violations expose directors personally.



VETO BLOCK — F.S. 718.117

Just **3 units (5%+)** can block a termination or redevelopment vote. Any 3 units can block major decisions. [See blocked decisions →](#)

THE GAP TO 33

Phase 2 = 18 additional units (Lacomte block). 15 + 18 = 33. One transaction closes the governance gap and locks in supermajority authority permanently.

At 33 units we have everything we need. We do not need to chase 37.

Handover

The board seat unlocks seven workstreams that have been blocked for years. We start next week.

1	Board Handover Review and verify everything Judith hands over: minute book, banking signatories, vendor contracts, owner roster, Declaration of Condominium, insurance, recertification file, open claims. Nothing assumed — every document validated, every account reconciled.	~15-20 hrs
2	Operational Review Comprehensive audit of building operations: staffing levels and roles, cleaning protocols and vendor agreements, use of common areas (laundry, lobby, storage, rooftop), deposit handling, key/access controls, and current house rules in practice vs. on paper.	~25-30 hrs
3	Mel Meeting Formal, agenda-driven. Scope, schedule, compensation, accountability framework. Document everything. Replacement is the likely outcome — we run the process correctly to avoid wrongful-termination exposure.	~6-8 hrs
4	Bylaws & House Rules Update Update house rules, noise policies, signage rules, common-area use, STR/lease restrictions, lease-vs-hotel ambiguities. Legal review required. Owner notice and vote where applicable. Modernize to match how the building operates today.	~20-25 hrs
5	Budget & Technology Review Operational enhancements before final adoption: electronic locks, cameras, reorganized labor, HOA fee structure clarity. Reservation/access tech, communication portal, vendor management, financial transparency. 2026-27 budget paused pending new board.	~15-20 hrs
6	Special Assessment Evaluation Analyze the three contractor bids already received against G. Batista's engineering drawings. Review the G. Batista engineering contract (\$14,500 fee, \$7,250 retainer paid). Evaluate scope alternatives — minimum compliance vs PIP-bundled vs full conversion. Site visits with the engineer.	~12-18 hrs
7	City Communication — Assessment Timing Formal letter to City requesting additional time on the special assessment. 180-day extension is routine with engineer + owner signatures + \$600 fee. New board needs runway to evaluate scope and allocation methodology.	~5-8 hrs

Why Board Control Matters Now

Board control changes how we manage the assessment, the City, and any future repositioning.

BEFORE MAY 18

- ✗ Hostile HOA dynamics — Judith as gatekeeper
- ✗ Special assessment locked at \$1.2-1.9M
- ✗ City communications routed through Mel/Judith
- ✗ Budget rubber-stamped without scrutiny
- ✗ Bylaws frozen — no path to update STR/hotel rules
- ✗ Hotel conversion politically blocked at HOA
- ✗ Acquisition of remaining units faces board scrutiny
- ✗ Recertification work scope dictated externally

AFTER MAY 18

- ✓ Working board majority — MR9-aligned 2 of 3
- ✓ Assessment scope and allocation negotiable
- ✓ City communications coordinated by new board
- ✓ Budget reopened — operational changes in scope
- ✓ Bylaws workable — house rules update on agenda
- ✓ Hotel conversion path clear at HOA level
- ✓ Acquisitions become straightforward owner transactions
- ✓ Recertification scope shaped by us

Translation: every strategic option in this deck (improve, PIP, or convert) just became materially easier to execute.

Current Unit Economics — The Naked Truth

Actual 2025 P&L. Per OWNED unit (15 units in portfolio). HOA eats almost all revenue. Q1 2026 shows a real shift.

Avg Gross Net Revenue / unit (STR + LTR)	\$16,936
Less: HOA fees (actual avg \$11,736 — \$978/mo)	-\$11,736
Less: Property tax (actual avg)	-\$2,711
Less: Extra repairs by owner	-\$1,795
Less: Insurance (HO-6 + STR coverage, est.)	-\$1,500
CURRENT NET NOI / unit	-\$806

PORTFOLIO 2025

-\$12,082

Net portfolio NOI on 15 owned units after all-in costs.

Q1 2026 vs Q1 2025 — RUN RATE		
Rent: \$89K →	\$133K	+49.6%
Owner Payout: \$69K →	\$92K	+33.5%
Paid Nights: 698 →	892	+27.8%
ADR: \$127 →	\$149	+17.1%
Paid Occ: 61% →	76%	+15 pts

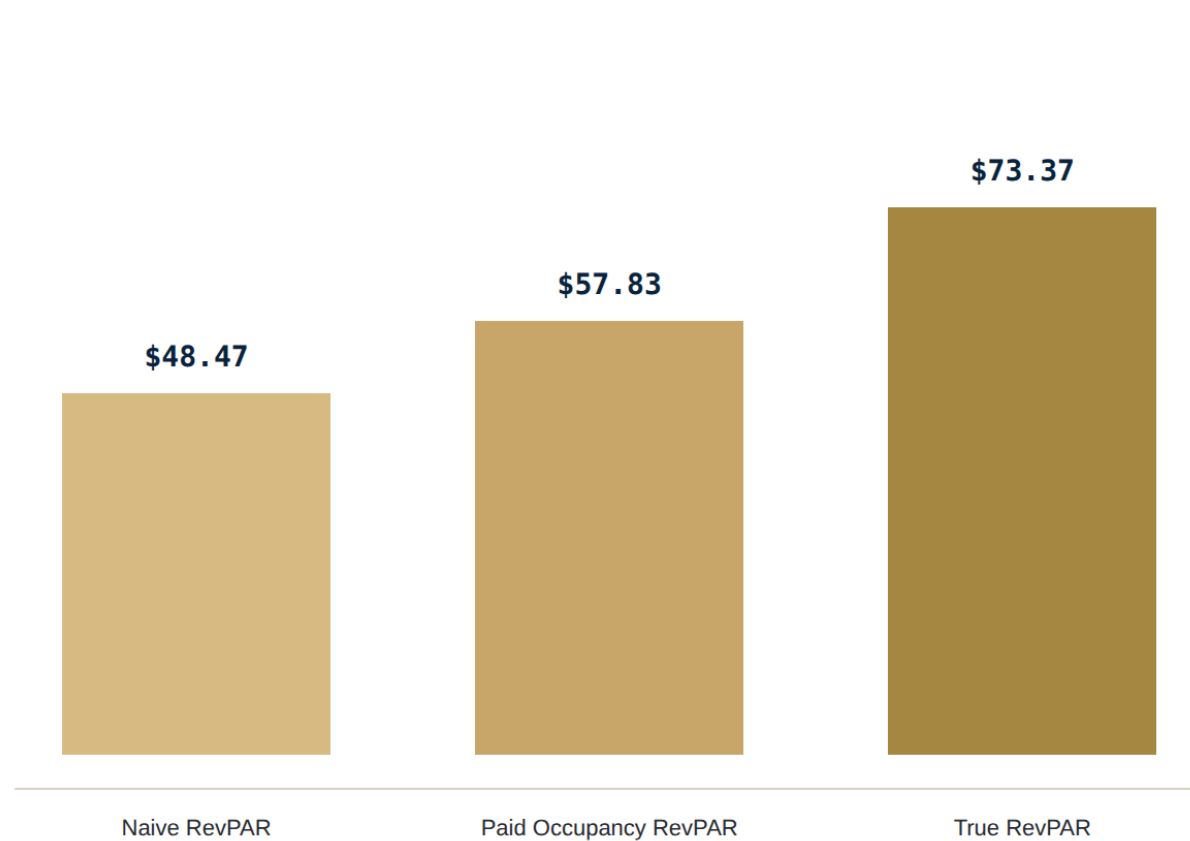
THE DIAGNOSIS

HOA at \$978/mo/unit consumes 69% of net revenue. Q1 2026 is improving operationally, but the cost structure is the binding constraint.

True RevPAR — The Right Yardstick

Naive RevPAR understates what STR-only units earn. The denominator should be STR-eligible days.

2025 RevPAR — Three Measurements



THE MATH

Naive: $\$265\text{K} \div 5,475 \text{ days} = \48

Counts ALL days incl. leased + owner + not-onboarded

Paid Occ: $\text{ADR } (\$114) \times \text{Occ\% } (50.6\%) = \58

Traditional hotel metric, but ignores ineligible inventory

TRUE: $\$265\text{K} \div 3,617 \text{ STR-days} = \73

STR-eligible = Paid + Vacant only. The honest yield.

PRO FORMA ASSUMPTION — ALL 15 UNITS AS STR

\$90 / day

Blended annual True RevPAR if all 15 units run STR-only (no leases, current product, no PIP)

Q1 winter peak ~\$148 · Q3 trough ~\$60 · Annual blend ~\$90

Five Operational Scenarios — Ladder of Value [\[VIEW DIAGRAM \]](#)

From current state to full hotel conversion. Each rung builds on the prior. NOI grows from negative to >\$1.2M.

	A — Current	B — Cleaning Take	C — Pure STR	D — \$2.5M PIP	E — Hotel (\$4M)
Description	2025 actual	Internalize cleaning \$40 margin/clean	Eliminate leases, all 15 STR	Renovate + 20% rate lift	42-key boutique, Base 70% scenario
Units	13 STR + 2 LTR	13 STR + 2 LTR	15 STR	15 STR / 33 / 42	42 keys
True RevPAR (STR-eligible)	\$73	\$73	\$90	\$108	\$175 (ADR×Occ)
STR Rent (gross)	\$265K	\$265K	\$493K	\$591K	\$2.98M
+ LTR Rent	\$53K	\$53K	—	—	—
+ Commercial	—	—	—	—	\$500K
+ Cleaning Margin Capture	—	\$23K	\$23K	\$23K	n/a
NOI / unit (or /key)	−\$806	\$749	\$10,027	\$15,269	\$29,524 / key
Portfolio NOI	−\$12,082	\$11,238	\$150,402	\$229,042 (15u)	\$1,240,000
NOI @ 33 units	n/a	n/a	\$330,885	\$503,893	n/a (single asset)
Investment to get there	~\$1.5M	~\$1.5M	~\$1.5M	\$2.5M PIP	\$4M PIP + commercial

KEY INSIGHT

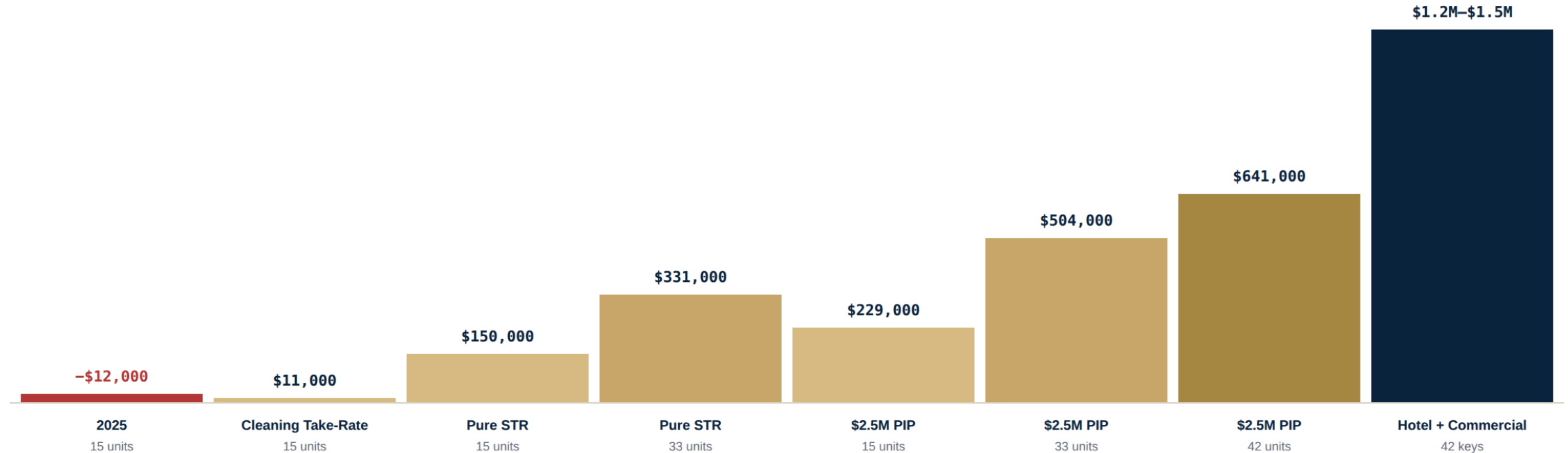
The biggest jump is from A → C (\$162K of NOI). \$2.5M PIP adds another \$79K. Hotel adds another \$1.0M.

Revenue basis: STR Rent = gross room rent before platform fees, commission, hotel tax. Scenarios C/D/E assume all 15 units run STR (no LTR leases). Slide 6 True RevPAR is built on the same \$265K STR-rent basis shown here.

Scenarios Visualized — Portfolio NOI

Each step changes the business model materially. Current trajectory is loss-making.

Annual Portfolio NOI by Scenario (USD, rounded to \$1K)



Doing nothing is not the safe option. Doing nothing is loss-making. Even Scenario B (cleaning) covers expenses; everything beyond compounds.

Timing — Improve First, Then Acquire?

The sequencing question: do we acquire units **BEFORE** improving the operation (cheaper basis) or **AFTER** (proven asset)?

OPTION A — ACQUIRE FIRST

Lock units at today's market basis

\$120-130K per unit reflects today's actuals (~\$800 NOI). Once we visibly improve operations and bylaws, sellers reprice their expectations and the basis runs up.

ADVANTAGES

- ✓ Captures all NOI upside on acquired units
- ✓ 100% of the upside
- ✓ No fiduciary risk
- ✓ Reduces sellers' bargaining power

RISK

Capital deployed before model is proven. If operations don't lift, we own more of a losing portfolio.

OPTION B — IMPROVE FIRST

Prove the new economics, then acquire

De-risk by demonstrating \$5K-\$10K NOI/unit before deploying acquisition capital. Track record makes financing easier.

ADVANTAGES

- ✓ Capital risk reduced — proven before scaling
- ✓ Time to negotiate special assessment terms

RISK

Visible improvements may push acquisition prices up 20-30%. We pay more, but on proven NOI.

RECOMMENDATION: ACQUIRE COMMERCIAL UNITS FIRST — Move to residential units — Then decide what to do.

Multiple Paths, All Good

We don't have to commit to one path today. We have several that work — we can choose when more information is in.

1

OPTION

Hold & Improve

Run the current portfolio better. Internalize cleaning. Update bylaws. Quietly acquire units at today's basis. Re-evaluate in 12-18 months.

2

OPTION

\$2.5M PIP — Premium STR

Renovate to a polished, branded extended-stay product. Lift True RevPAR ~20%. Keep units as individually titled condos — optionality preserved.

BIG UNDERTAKING

Requires a dedicated project lead — design, GC management, brand build, leasing/marketing.

3

OPTION

\$4M PIP — Hotel Conversion

Full 42-key boutique repositioning under SLH/Driftwood. Single operating asset. Highest absolute return but most capital and longest timeline.

MAJOR UNDERTAKING

Requires a full-time dedicated team to supervise entitlements, GC, execution, brand/operator partnership, operations.

Each path is independently defensible. The point is to NOT LOSE THE OPTIONS AVAILABLE — especially acquisition of commercial spaces and the 18-unit Lacomte block being split.

The Special Assessment — Scope is the Decision

This isn't a fixed obligation. The number depends entirely on what we decide to do with the building.

The situation: City of Miami Beach issued the 40-year recertification notice on March 25, 2026. Response window is 90 days, expiring **June 23, 2026**. G. Batista Engineering & Construction is the Association's engineer of record under signed agreement dated May 9, 2025 (engineering fee \$14,500, of which \$7,250 retainer paid). G. Batista produced engineering drawings dated December 12, 2025 specifying the required structural scope. Three contractor bids received against those drawings. **CSI bid (Feb 13, 2026) totals \$1,347,452 over 140 working days** — the verified middle bid and baseline for minimum compliance.

Minimum Compliance

~\$1.5M

SCOPE

Structural concrete repairs, waterproofing, painting — per G. Batista drawings, CSI bid baseline.

WHAT IT ACHIEVES

Closes the City recertification with no value creation. Reactive, code-driven only. Hotel/condo continues as-is.

Recertification + PIP

~\$2.5M

SCOPE

Above + cosmetic and functional upgrades (lobby, common areas, mechanical systems, smart access, technology).

WHAT IT ACHIEVES

Recertification + asset repositioning. Enables extended-stay or upgraded condo-hotel operations. Optionality on conversion preserved.

Full Conversion

~\$4.0M

SCOPE

Above + full luxury boutique hotel build-out (FF&E, brand standards, operator buildout).

WHAT IT ACHIEVES

Recertification + full hotel conversion to boutique luxury positioning (Polly Lux / Hirsch-Meyer concept). Highest capital, highest return, longest timeline.

WARNING

The scope decision must happen **before** the special assessment is finalized. Once owners receive the assessment notice with a number, changing it requires a second assessment and significant administrative cost. We have one chance to size this correctly.

EXTENSION AVAILABLE

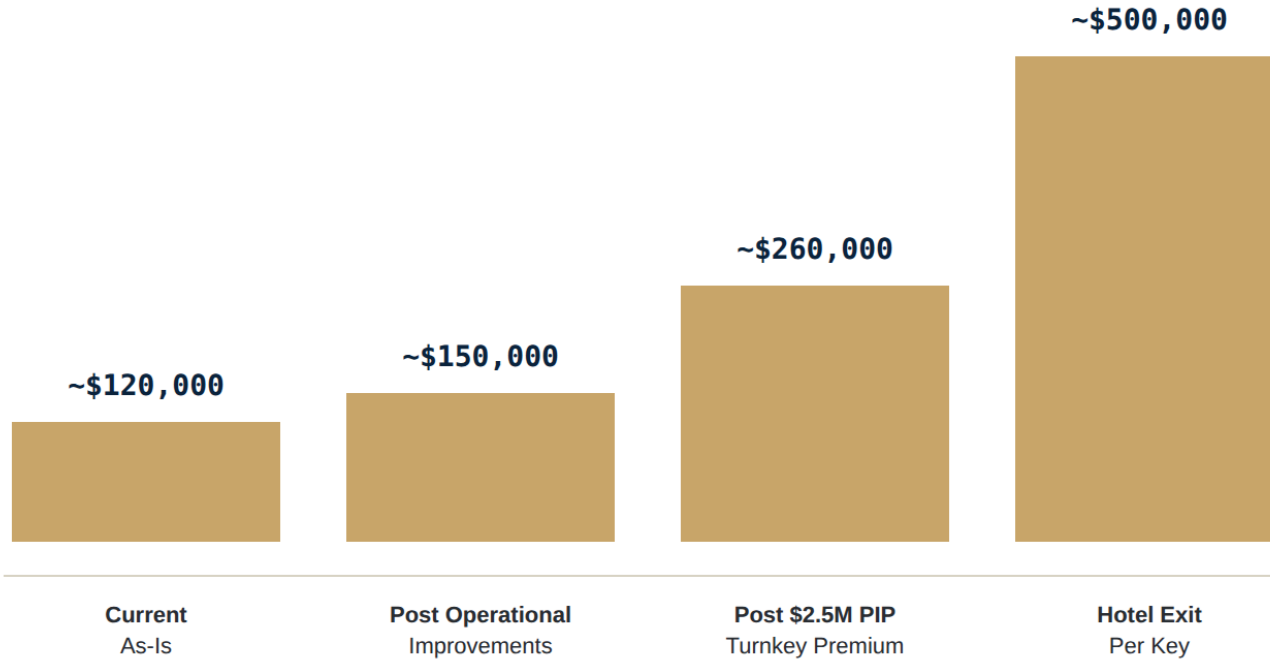
Routine 180-day administrative extension obtainable from Miami Beach Building Department with G. Batista's signature, owner rep signature, and \$600 fee — filed before June 23. Two 180-day extensions permitted. **Buys up to 12 months to scope properly. Indefinite extension also an option.**

This is not a \$1.5M problem we have to solve. It's a \$1.5M / \$2.5M / \$4M decision we get to make.

Valuation: \$/SF Lens (Residential Market)

How the residential market actually prices these units — based on \$/SF comparables, not NOI yield.

Value per Unit by Scenario (USD, rounded)



\$ / S F T R A N S L A T I O N

Current (~\$120K/unit)

~\$420/SF

Post Operational Improvements

~\$520/SF

Post \$2.5M PIP Turnkey

~\$850/SF

Hotel Exit (Base 70%)

~\$1,700/SF

Valuation: NOI ÷ Cap Lens (Investment)

How an investor prices the asset for cash flow. Current NOI implies the asset is being held below investment value.

Scenario	NOI / unit	Cap rate	Implied value/unit	vs Market
A — Current	-\$806	n/a (loss)	~\$120K-\$130K	Mkt ~\$120K is above NOI value
B — Cleaning take	\$749	7.0%	\$10,700	Mkt ~\$120K is above NOI value
Operational Improvements*	\$2-4K (signal)	Market multiple	~\$150K	Market pays for upside thesis
C — Pure STR (15u)	\$10,027	7.0%	~\$150K	Aligned w/ market
D — \$2.5M PIP	\$15,269	6.5%	\$234,900	Below market (mkt ~\$260K)
E — Hotel (42-key)	\$29,524 / key	5.0-5.5%	~\$500,000 / key	Hotel comp \$/key

THE GAP

Today, market sells units at ~\$120K despite negative NOI. Why? Because the market prices RESIDENTIAL USE, not yield. End-users want to live in / vacation-rent the unit. Beyond Scenario C, both lenses agree the unit is worth materially more.

REMEMBER: COMMERCIAL UPLIFT IS SEPARATE

These per-unit values are the RESIDENTIAL portfolio only. The commercial acquisition adds additional value on top of every scenario above (see next two slides). The two stack additively.

DUE DILIGENCE REQUIRED: Every acquisition (residential AND commercial) needs full title, lien, lease, environmental, and structural review. Commercial spaces require extra scrutiny on existing tenant leases, rent rolls, build-out conditions, and HOA cross-encumbrances.

* Operational Improvements row reflects market multiple bump from observable improvements (cleaning, branding, photos, tighter ops) signaling Scenario C is achievable – not NOI ÷ cap math. Cap rates: 7% STR multifamily, 6.5% premium STR, 5-5.5% boutique hotel.

Capital Required vs. Value Created

Three paths, three capital commitments, three exit values. What you spend determines what you create.

PATH	TOTAL CAPITAL REQUIRED → \$0 ----- \$9M	STABILIZED VALUE → \$0 ----- \$30M	MoM
A — Hold & Improve +\$0.5M assessment (15/42 share) · NOI \$150K · Cap 7%	\$0.5M (assessment only)	\$2.1M · Profit -\$0.2M incl. sunk	0.9×
B — Acquire + STR \$2.0M acq + \$1.2M assessment (33/42 share) · NOI \$331K · Cap 7%	\$3.2M (acq + assessment)	\$4.7M · Profit -\$0.3M incl. sunk	0.94×
C — Acquire + \$2.5M PIP \$4.5M · NOI \$504K · Cap 6.5%	\$4.5M	\$7.8M · Profit \$1.3M	1.29×
D — Acquire + Comm. + PIP \$7.5M · NOI \$1.0M · Cap 6%	\$7.5M	\$16.7M · Profit \$7.2M	1.96×
E — Full Hotel Conversion \$9.0M · NOI \$1.24M · Cap 5.5%	\$9.0M	\$25M–\$30M · Profit \$16M–\$21M	2.8x–3.3x

Paths A & B are capital-destructive when the special assessment is included and sunk costs counted. The value case begins at Path C — where the PIP absorbs the compliance cost and creates net uplift.

Assessment note: Paths A & B now include MR9's proportional share of \$1.5M min-compliance special assessment (15/42 = \$0.5M; 33/42 = \$1.2M). Including sunk cost (\$1.8M original 15 units) both paths show negative returns – user assumption validated. Paths C/D/E: PIP supersedes minimum compliance; assessment IS the PIP. D = \$2.0M acq + \$2.5M PIP + \$3.0M commercial = \$7.5M ✓. E = \$2.0M acq + \$4.0M PIP + \$3.0M commercial = \$9.0M ✓. Cap rates: 5.5% hotel / 6.0–6.5% premium STR / 7.0% standard STR.

The Commercial Opportunity — Acquisition Math

Steve and Judith have offered MR9 the four commercial units at \$3M. Verbal claim of ~\$300K NOI. The real thesis is below-market rent, not cap rate arbitrage.

THE DEAL AS OFFERED

Metric	Value	Context
Total commercial SF	7,891 SF	CU1: 3,454 / CU2: 638 / CU3: 1,207 / CU4: 2,592
Asking \$/SF	\$380/SF	Below Washington Ave range of \$400–\$700/SF
Current cap rate	10%	At \$300K NOI claimed (verbal, unverified)
Implied current rent	\$38/SF NNN	Triple-net assumed for retail/F&B tenants

MARKET COMPS — MIAMI BEACH GROUND-FLOOR RETAIL

Address	SF	\$/SF/yr NNN	Relevance
📍 1510 Alton Rd	3,000	\$55	Most direct B-class match
📍 6604–6640 Collins	400–1,200	\$50–60	Closest in unit size
📍 1234 Washington Ave	3,512–7,783	\$50–80	Strong comp — Art Deco, mid-reno
📍 1671–1673 Alton Rd	5,000–6,000	\$70	Aspirational — restaurant-grade
📍 1050–1080 Alton Rd	3,650	\$100	Ceiling — corner restaurant build-out

The band: B-class Miami Beach ground-floor retail trades at **\$50–\$80/SF NNN**. Midpoint ~\$65/SF. Royal's commercial at implied \$38/SF is renting at **~60% of market midpoint, 48% of high end**.

VALUE CREATION — LEASE ROLLOVER TO MARKET

Scenario	\$/SF	NOI	Value @ 5.5%	Uplift
As-is (verbal)	\$38	\$300K	\$5.45M	+\$2.45M
Low end of market	\$50	\$395K	\$7.18M	+\$4.18M
Market midpoint	\$65	\$513K	\$9.33M	+\$6.33M
Upper band (restaurant)	\$80	\$631K	\$11.48M	+\$8.48M

FAVORABLE ROLLOVER SCHEDULE

CU-3 (Bar Idol, 1,207 SF) & CU-4 (The Licking, 2,592 SF): leases **EXPIRED 2/28/2025** — currently on holdover, immediate mark-to-market available.

CU-2 (Black Rose Tattoo/Bar, 638 SF): exp. **2/28/2029** · CU-1 (South Beach Market grocery, 3,454 SF): exp. **6/30/2029**.

Source: Royal SB MLS listing inventory + condo documents deep-dive (Mar 2026).

The thesis is not cap rate arbitrage. It is below-market rent.

MR9 acquires an asset where the rent roll is structurally below market by 40–60%, with **two of four leases already expired** (CU-3 and CU-4 since Feb 2025) and the remaining two rolling within four years. The acquisition pays for itself through lease rollover even without rebranding, repositioning, or hotel conversion.

BEFORE UNDERWRITING — VERIFY (NOT VERBAL) [click to expand]

- ❑ Actual rent roll per unit w/ current monthly rent
- ❑ Lease terms, expirations, escalation clauses
- ❑ Operating expense pass-through (NNN, modified gross, full service)
- ❑ CU3 and CU4 — generating rent or vacant?
- ❑ 38.7% Operating pool — tenant-absorbed or landlord?

The commercial acquisition is the cleanest piece of value in the entire Royal thesis — verifiable, separable from the hotel conversion question, with multiple exits.

Commercial Opportunity — Stabilized Upside Scenario

Once leases roll to market midpoint, the commercial component alone delivers \$6M of latent value at hotel-grade exit caps.

\$3.0M

ACQUISITION COST

7,891 SF at \$380/SF

10%

ENTRY CAP RATE

\$300K current NOI

\$9M–\$11M

STABILIZED VALUE

\$500K NOI ÷ 5%–5.5% cap

THE MATH

- Step 1:** Buy 4 commercial units for \$3M. At today's NOI of \$300K, that's a 10% cap rate — already a strong unlevered yield.
- Step 2:** Re-tenant / re-price to market. Post-stabilization NOI reaches \$500K (+67%).
- Step 3:** Asset sells at hotel/mixed-use cap rate of 5%–5.5%. Value range: $\$500K \div 5.5\% = \$9.1M$ / $\$500K \div 5.0\% = \$10.0M$.

VALUE UPLIFT: $\$9M\text{--}\$11M - \$3.0M = \$6M\text{--}\$8M$ ON THE COMMERCIAL ALONE

Asset Management — The Scope Has Changed [\[VIEW EVOLUTION MAP \]](#)

A quiet inflection point. The work ahead has outgrown the original engagement.

THE ORIGINAL ENGAGEMENT

What we set out to do

- Operational review of 15 existing units
- Conversion opportunity analysis
- Strategic recommendation on path forward

Three deliverables. A few months of work. Bounded, defined, complete.

What follows on the right is not an extension of this engagement. It is a fundamentally different project — in scope, in capital at risk, and in operational complexity.

WHAT'S ACTUALLY IN FRONT OF US NOW [\[expand \]](#)

The expanded scope

- Board control across 46-unit association (achieved May 18)
- Special assessment execution (\$1.5M – \$4M capital deployment)
- City extension negotiation and permitting
- Engineering / contractor / construction oversight (140+ working days minimum)
- Operator selection and negotiation (SLH, Driftwood, or alternatives)
- Bylaws and Declaration review and amendment
- Operational vendor rebids (management, cleaning, security, maintenance)
- Tenant and lease management across residential and commercial
- Capital partner relations (if external investors brought in)
- Potential acquisition of 18-unit Lacomte block
- Potential acquisition of 9 remaining residential units (Phase 3)
- Potential acquisition of 4 commercial units (Judith's CU1 + others)

At this scale, who watches the watchers?

A \$1M project requires owner attention. A \$2M project requires owner supervision. A \$4M project — combined with active acquisitions, board governance, contractor oversight, operator selection, and capital partner coordination — requires a dedicated asset management function. The owners' time is best spent on capital decisions, strategic direction, and partner relations. The day-to-day execution of a project of this size and complexity is its own full-time discipline.

WHAT INSTITUTIONAL OWNERS DO

- Real estate investment trusts and family offices universally separate ownership from asset management at this scale
- A single point of accountability across construction, operations, and partner coordination prevents value leakage
- Independent oversight protects owners from the conflicts that arise when a property manager, an engineer, a contractor, and an operator each pursue their own interests
- Typical asset management fee structures: 1-2% of asset value annually, or fixed monthly retainer plus performance fee

Operational Platform — Hospitality IQ [\[VIEW PLATFORM \]](#)

One technology stack across the residential portfolio and the commercial conversion. Choose it deliberately, before the PIP locks in vendor choices.

WHY IT MATTERS NOW

- **Unified property management** across STR, LTR, and hotel-mode operations — handles the mixed-use reality of Royal SB without forcing a single operating model today
- **Dynamic pricing engine** with revenue management built in — captures the Q1 2026 ADR strength without manual rate-setting
- **Channel manager** for Airbnb, VRBO, Booking.com, direct, and brand partner channels (SLH, Driftwood) — single source of truth across distribution
- **Owner reporting and statements** automated — eliminates Park Place commission and statement friction; replaces weeks of reconciliation work
- **Smart access integration** — compatible with the electronic lock systems being added as part of operational improvements
- **Guest CRM and re-marketing** — builds the database for direct-channel re-bookings, reducing OTA fee load over time
- **Reservations + housekeeping + maintenance workflows** in one platform — ready for cleaning internalization (Oscar Rojas contract)

STRATEGIC FIT

Whichever path we choose — Hold & Improve, \$2.5M PIP, or \$4M Hotel Conversion — the operational tech stack should be selected once and built to scale. A platform purpose-built for boutique condo-hotels operating in the STR + LTR + hotel hybrid environment we live in.

Selecting it now — before the special assessment vote — has three advantages:

Operational readiness: The new board demonstrates competence by deploying the system in parallel with special assessment scoping — visible improvement that supports the case for a PIP-bundled assessment.

Vendor leverage: Selecting the platform before committing to a hotel operator (Driftwood, SLH) keeps us at the table — operators must integrate with our system, not the reverse.

Reversibility preserved: Supports both pure-STR operation (today's posture) and full hotel operation (future state). No operational lock-in prior to the strategic decision.

NEXT STEP: 30-day evaluation vs. current Park Place / Hostaway stack.
Decision target: 60 days after May 18.

The platform decision is downstream of the strategic decision — but if we get the platform right now, every strategic decision becomes easier to execute.

90-Day Decision Tree

What we need to know, and by when, to size the special assessment correctly.

DAYS 1–30 May 18 – June 17 — Board takes office May 18 — Send 180-day extension letter to City (G. Batista + \$600 fee) — Schedule formal Mel Fernandez meeting — Begin operational audit — Obtain Declaration of Condominium — Initiate commercial unit rent roll verification — Begin Phase 2 acquisition outreach (quiet) — Initiate Hospitality IQ evaluation vs. current Park Place / Hostaway stack DECISION GATE 1 Extension granted? (Yes / No)	DAYS 31–60 June 18 – July 17 — Bylaws and house rules review with legal counsel — Internalize cleaning operations (Oscar Rojas contract) — Audit Park Place flow-through and commission structure — Receive verified commercial rent roll from Steve/Judith — Begin scope conversations with G. Batista on PIP-bundled vs minimum-compliance DECISION GATE 2 Minimum compliance, PIP-bundled, or full conversion?	DAYS 61–90 July 18 – Aug 17 — Lock Phase 2 acquisition financing — Finalize special assessment scope and allocation methodology — Begin operator outreach (Driftwood, SLH) if PIP or hotel path chosen — Capital partner conversations if external investors required DECISION GATE 3 Special assessment vote scheduling	DAY 90 CHECKPOINT August 17, 2026 DELIVERABLES ✓ Mel resolved ✓ Bylaws updated ✓ First 5 units of Phase 2 in escrow ✓ Declaration reviewed by counsel ✓ Commercial rent roll documented ✓ City extension in hand REF: ORIGINAL DEADLINE June 23 City deadline — covered by 180-day extension.
--	---	---	--

Every decision below is reversible until we sign the special assessment vote. We are buying ourselves the time to make it once, correctly.

CLOSING

Bottom Line — Wednesday's Decisions

Three concrete decisions to align on. Strategy questions can wait — execution doesn't.

BOARD TRANSITION

Run It Professionally

Send Judith handover letter today. Schedule weekend transition. Establish minute book, banking, vendor inventory. First action item is City letter on assessment timing — sets the tone that we're competent stewards.

OPERATIONS

Start Improvements Now

Internalize cleaning (\$23K/yr margin). Meet with Mel — agenda-driven. Bylaws review. Camera/lock upgrade. Don't wait for a strategic decision on conversion — these don't depend on it.

STRATEGIC PATH

Acquire & Decide Later

Quietly pursue Phase 2 unit acquisition (\$2M) at current basis BEFORE improvements become visible. Reserve \$3M for commercial. Defer the \$2.5M vs \$4M PIP decision 6-9 months — the data will be in by then.

Next checkpoint: 90 days. By then we'll have: Mel resolved, bylaws updated, first 5 units of Phase 2 in escrow, Declaration reviewed.

